

Active portfolio managers argue that, by virtue of their superior stock-picking skills, they can do better than any index. Index strategists, for their part, have history on their side. Annually, from 1980 through 2011, only 41 percent of large-cap mutual funds beat the S&P 500 index.²

From an investor's point of view, the underlying attraction of both strategies is the same: to minimize risk through diversification. By holding a large number of stocks representing many industries and many sectors of the market, investors hope to build in a warm blanket of protection against horrific loss that could occur if they had all their money in one arena and that arena suffered some disaster. In a normal period, so the thinking goes, some stocks in a diversified portfolio will go down and others will go up, so let's keep our fingers crossed that the latter will compensate for the former.

Active managers achieve this protection by loading up their portfolios. In their view, the more stocks the portfolio contains, the better their chances. Ten stocks are better than one, and 100 stocks are better than 10. An index fund, by definition, affords this kind of diversification if the index it mirrors is also diversified. So does the traditional stock mutual fund, which has upwards of 100 stocks.

There's just one problem: We have all heard this mantra of diversification for so long that we have become intellectually numb to its inevitable consequence: mediocre results. Both active and index funds do offer diversification, but, in general, neither strategy will give you exceptional returns.

What does Buffett say about this ongoing debate? Given these two particular choices, indexing versus an active strategy, he would unhesitatingly pick indexing. So would investors who have a low tolerance for risk, and people who know very little about the economics of a business but still want to participate in the long-term benefits of investing in common stocks. "By periodically investing in an index fund," Buffett says in his inimitable style, "the know-nothing investors can actually outperform most investment professionals."³

Buffett, however, would be quick to point out that there is a third alternative, a very different kind of active portfolio strategy that significantly increases the odds of beating the index. That alternative is *focus* investing. Reduced to its essence, focus investing means this: Choose